

A BRIEFING

There are two ways to answer a question.
They produce different kinds of answers.

One begins with interpretation.

The other begins with measurement.

LLM-First vs Physics-First — five pages

There Are Two Ways To Answer A Question

"Should I buy BP?"

APPROACH 1 – LLM FIRST

Read, interpret, conclude.

- 1 Read a collection of articles.
- 2 Interpret them.
- 3 Generate a narrative.
- 4 Reach a conclusion.

The model is deciding what matters.

*The conclusion is built from **interpretation**.*

APPROACH 2 – PHYSICS FIRST

Measure, then conclude.

- 1 Identify the forces acting on BP.
- 2 Measure each force.
- 3 Determine which forces are strengthening or weakening.
- 4 Determine which forces matter most.
- 5 Then generate a narrative.

*The conclusion is derived from **measurement**.*

*One starts with **interpretation**.*

*The other starts with **measurement**.*

The difference is subtle but important.

What Does An LLM Actually Do?

"Should I buy BP?"

The model searches for information, reads a subset of articles, builds a representation of the situation, and produces an answer.

The answer may be excellent. However, the process is fundamentally *interpretive*. The model is deciding what matters.

WHAT YOU SEE

- ✓ Answer
- ✓ Reasoning

WHAT YOU DON'T SEE

- ~~What was ignored~~
- ~~What contradicted the answer~~
- ~~Which factors mattered most~~
- ~~How much each factor contributed~~

*The answer is produced. But the **forces behind it** remain invisible.*

What Does Noah Do Differently?

"Should I buy BP?"

Instead of immediately forming an opinion, the first question is: *what are the forces acting on BP?*

FORCE	DIRECTION
Dividends	Positive
Buybacks	Positive
Operational performance	Positive
Oil-price sensitivity	Negative
Regulatory pressure	Negative
Litigation	Negative

*Only after measuring these forces does Noah attempt to form a view.
The narrative comes **last**. Not first.*

Where Does Conviction Come From?

Most systems produce *confidence*. The approach described here attempts to measure *conviction*.

EXAMPLE A		
Positive forces		8
Negative forces		1
High conviction.		

EXAMPLE B		
Positive forces		5
Negative forces		5
Low conviction.		

*In Example B, the answer is not "uncertain."
The answer is: **reality is contradictory**. That distinction matters enormously.*

Why This Matters For Risk Tracking

Most systems tell you what they think. This approach tries to tell you **what changed** — and why.

JANUARY	
Regulatory pressure	Low
Capital returns	Strong

MARCH	
Regulatory pressure	High ▲
Capital returns	Strong

*The important question is **what changed** — not what the score is.*

THIS MAKES IT POSSIBLE TO EXPLAIN

- Why a score moved
- Which force moved it
- Whether the change is accelerating
- Whether contradictory evidence exists

Which is ultimately what clients, boards and communications teams need.